Paradiem IOWN

Q2 2026 Proposed Rebalance — For Committee Approval

Prepared By: Carson Rich

The following proposals are submitted for the investment committee's review, discussion, and vote. These recommendations are based on six proprietary research reports, our sector rotation framework, the ISM manufacturing expansion signal, and current technical analysis of all 11 sector ETFs. Each proposal includes the underlying rationale and supporting evidence for the committee's consideration.

Summary of Proposed Actions

I recommends the following changes for Q2 2026:

Dividend Portfolio:

- Proposed Exit**: Matson (MATX)** — liquidity constraint
- Proposed Exit: **Agilent Technologies (A)** — sector rotation + tax loss harvest
- Proposed Addition: **Nutrien (NTR)** — fertilizer crisis thesis
- Proposed Addition: **Coterra Energy (CTRA)** — energy underweight correction

Growth Portfolio (24 → 25 holdings):

Proposed Exit: **Gold Fields (GFI)** — lower screener composite, gold-to-copper swap *(see notes on tax consequences)*
Proposed Exit**: FinVolution Group (FINV)** — screener weaknesses + China risk
Proposed Exit: **PDD Holdings (PDD)** — screener weaknesses + China risk
Proposed Addition: **Freeport-McMoRan (FCX)** — copper demand thesis
Proposed Addition**: Credo Technology (CRDO)** — interconnect silicon
Proposed Addition: **Vistra Corp (VST)** — nuclear/AI power demand
Proposed Addition: **Marvell Technology (MRVL)** — custom AI silicon

---

Macro & Geopolitical Context

The committee should consider these proposals against the following macro backdrop, which has changed materially since our Q1 rebalance:

- The Iran War (began Feb 28) has shut the Strait of Hormuz, taking **~20% of global oil supply offline.** Brent crude surged 57% in March to $119.50/bbl.
- Qatar's LNG export facility was destroyed by drone attack, **disrupting 20% of global LNG supply.**
- 30-35% of global ammonia production is offline, sending fertilizer prices up 50% — the most significant disruption since WWII.
- The Fed is boxed in at 3.50-3.75% with inflation re-accelerating. **Recession probability has risen to 30-42%.**
- Sector leadership has rotated decisively: Energy (XLE) +**39.5%** YTD, Utilities (XLU) **+8.3%,** Materials (XLB) **+8.7%.** Technology (XLK) **-11.3%.**

Paradiem IOWN

ISM Manufacturing Expansion

The ISM Manufacturing PMI has expanded for three consecutive months (January 52.6, February 52.4, March 52.7) following 26 straight months of contraction — **the longest streak since 2008-2009**. My research (ISM Manufacturing Expansion: How to Profit, April 2026) documents the historical precedent:

- **When ISM sustains above 50 for 3+ months** after prolonged contraction, **cyclical equities outperform the S&P 500 by 800-1,200 basis points over the subsequent 12 months.**
- Industrials rank #1 in historical outperformance (+800-1,400 bps), followed by Materials (#2, +600-1,100 bps) and Energy (#3, +400-900 bps).
- This expansion is driven by defense spending acceleration ($924.7B NDAA + $200B supplemental), AI infrastructure buildout, and tariff-driven reshoring ($1.2T in announced capacity).
- Risk: Prices Paid at 78.3 — the highest since 2022. If this exceeds 80 for two consecutive months, we would recommend rotating from pure cyclicals to quality industrials.

This signal forms the primary basis for keeping our heavy industrials allocation steady

---

Sector Technical Scoring Matrix

The following matrix was generated using our 5-signal scoring system (Price vs MAs, Golden/Death Cross, Breadth, Relative Strength vs 40-week MA, Breadth Divergence) applied to all 11 sector ETFs as of April 6, 2026. This analysis informs the proposed sector weight changes.

Sector ETF	Price	50 MA	200 MA	Regime	Score
XLE Energy	$61.26	$55.18	$47.00	Price > 50 > 200, both rising	5.0 (Strong)
XLU Utilities	$45.89	$45.32	$43.62	Price > 50 > 200, golden cross	4.5 (Strong)
XLB Materials	$49.97	$50.67	$46.31	Above 200, reclaiming 50	3.5 (Mod)
XLI Industrials	$161.73	$169.07	$156.84	Above 200, below 50 + ISM	2.5 + ISM override
XLP Staples	$81.98	$85.25	$80.96	Above 200, below 50	2.5 (Neutral)
XLV Healthcare	$146.61	$153.62	$145.64	Near 200, well below 50	2.0 (Mod/Weak)
XLK Technology	$132.90	$139.89	$138.32	Below both, death cross	1.5 (Weak)
XLF Financials	$49.37	$51.43	$52.71	Below both, death cross	1.5 (Weak)
XLC Comms	$110.86	$115.50	$113.48	Below both MAs	1.5 (Weak)
XLY Cons Disc	$108.98	$115.70	$116.08	Below both, death cross	1.0 (Weak)
XLRE Real Estate	$40.83	$42.14	$41.63	Below both, death cross	1.0 (Weak)

**The committee should note that our proposed industrials overweight (18%) represents a fundamental conviction override of the technical score (2.5). The ISM data provides the fundamental catalyst that I believe justifies this forward-looking positioning.*

Proposed Dividend Portfolio Changes

I recommend the following changes to the dividend portfolio for the committee's approval.

Proposed Exits

1.) Matson (MATX) — Recommend Exit

Industry: Marine Shipping

Rationale: Liquidity Constraint

Matson's average daily volume of ~300,000 shares at ~$160 produces daily dollar volume of roughly $48 million. For Model 7A at around $385 million AUM, a 4% allocation ($15.4M) would represent over 31% of daily volume.

- Screener score of 65 (HOLD) — among the weakest in the dividend book
- Estimated tax impact: **Mostly long term gain**

2.) Agilent Technologies (A) — Recommend Exit

Industry: Life Sciences Tools & Services

Rationale: Sector Rotation & Tax Loss Harvest

Carson's thesis on Agilent has not changed. It remains a high-quality business. However, the macro environment has shifted materially since we added this position in January, and the current healthcare overweight (16% vs 9% target) should be corrected in favor of energy exposure which is currently only at 4% weight.

- Healthcare allocation currently at 16%, well above our 9% target
- Energy allocation at only 4% — critically underweight given the Iran War backdrop
- Estimated tax impact: **short term** (some clients already sold out in TLH)

Proposed Additions

1.) Nutrien (NTR) — Recommend Addition

Industry: Agricultural Inputs

Thesis: Fertilizer Crisis Beneficiary & Long-Term Compounder

Our original research identified the Iran War's destruction of Qatar's Ras Laffan facility as eliminating 30-35% of global ammonia production — the most significant fertilizer supply disruption since WWII. Rebuilding takes 3-5 years, making this structural, not temporary. Global urea prices are up ~50%.

Nutrien is the world's largest potash producer with integrated nitrogen, phosphate, and retail distribution. Critically, it operates from Saskatchewan — zero exposure to Middle Eastern or Russian supply chain risk.

- Materials sector ranks #2 in ISM post-contraction outperformance **(+600-1,100 bps)**

2.) Coterra Energy (CTRA) — Recommend Addition

Industry: Oil & Gas E&P

Thesis: Dual-Basin Energy Exposure

CTRA provides both oil (Permian) and natural gas (Marcellus) exposure, addressing a gap — VLO is a downstream refiner, CTRA is upstream production. Different parts of the value chain that perform differently across conditions.

The gas side matters especially now. Qatar's LNG destruction removed 20% of global supply, and European gas prices are trading at ~19x U.S. Henry Hub. Coterra's Marcellus operations are positioned for this structural export demand that didn't exist six months ago.

- Energy sector ranks #3 in ISM post-contraction outperformance **(+400-900 bps)**

Proposed Growth Portfolio Changes

I recommend the following changes to the growth portfolio for the committee's approval. The growth portfolio will move back from 24 to 25 holdings, filling the vacancy from DOCU's removal earlier in the quarter.

Proposed Exits

1.) Gold Fields (GFI) — Recommend Exit
Rationale: Lower Screener Composite — Gold-to-Copper Swap
The portfolio currently holds two gold miners (AEM and GFI). Carson recommends retaining AEM based on its significantly higher screener composite score of 78 (HOLD) versus GFI's 57 (WATCH). GFI scores as a Finite Game player (3/10) with a weak mission and limited evidence of long-term strategic thinking. AEM's stronger profile across Innovation, Inspiration, and the Infinite Game framework makes it the clear hold.

- AEM composite: 78 (HOLD) vs **GFI composite: 57 (WATCH)**
- GFI Infinite Game mindset: **FINITE (3/10)**
- Replacing GFI with FCX (copper) diversifies materials from gold+gold to gold+copper, capturing the copper demand supercycle
- Estimated tax impact: **short-term gain**

2.) FinVolution Group (FINV) — Recommend Exit
Rationale: Screener Weaknesses, Geopolitical Risk & Deteriorating Fundamentals
FINV scores 58 (WATCH) on our screening rubric with several concerning findings that, taken together, indicate this is not a name we should own:

- **Inspiration score: 4/10** — mission of "financial inclusion" is not distinctive among fintech peers; virtually every online lending platform claims the same purpose
- **Courage to Lead: 2/10** — company is **"managing for survival** under regulatory constraints rather than making bold long-term investments"
- FY2026 guidance**: Revenue decline of 5-15%** — management is guiding down, not up
- **US-China tariffs at 47.5% with potential delisting threat**
- Estimated tax impact: **short-term loss** (some clients already sold out in TLH)

3.) PDD Holdings (PDD) — Recommend Exit
Rationale: Screener Weaknesses, ESG Toxicity & Faith Alignment Concerns
PDD scores 54 (WATCH) on our screening rubric — the second-lowest in the growth portfolio. The screener report identified fundamental problems with how this company operates that go beyond tariff exposure:

- **Infinite Game mindset: FINITE (3/10)** — our screener describes PDD as a "quintessentially finite game player" that "optimizes for price, volume, and market share above all else"
- **Just Cause: 1/10 — "PDD has no Just Cause. The company exists to sell goods as cheaply as possible."**
- **Trusting Teams: 2/10 — "low-trust, fear-based environment."**
- **Employees physically fought with Chinese market regulators**, triggering a government investigation with 100+ officials dispatched
- **Inspiration score: 1/10 — the lowest in our entire portfolio**
- Estimated tax impact: **short-term loss** (some clients already sold out in TLH)

Proposed Additions

1.) Freeport-McMoRan (FCX) — Recommend Addition

Thesis: Structural Copper Demand

A single hyperscale AI data center consumes 15,000-50,000 tons of copper. Our optical interconnect research confirms net copper demand still grows — data centers are being built faster than copper intensity per facility is declining. Add EVs (3-4x more copper than ICE vehicles) and grid modernization, and supply deficits of 400,000+ tonnes are forecast for 2026. New copper deposits take 10-15 years from discovery to production. Freeport operates Grasberg (world's largest copper/gold mine), Peru, and Arizona.

- Score: 82 | PEG FWD: 0.43 | D/E: 34%

2.) Credo Technology (CRDO) — Recommend Addition

Thesis: Data Center Interconnect Silicon

As GPU clusters scale to hundreds of thousands of chips, the interconnect fabric between them becomes the performance bottleneck — not the GPUs themselves. Credo's SerDes and active electrical cable chips sit at that exact chokepoint. This is a different supply chain node than photonic components — Credo makes the high-speed silicon that converts signals for transmission.

- Score: 82 | PEG: 0.30 — strongest valuation-to-growth of any proposed addition | ROE: 27.5%

3.) Vistra Corp (VST) — Recommend Addition

Thesis: Nuclear Power & AI Data Center Electricity Demand

U.S. power demand is forecast to grow 50% by 2040 driven by AI data centers, reshoring, and EVs. Nuclear provides 24/7 baseload with zero emissions — exactly what hyperscalers are contracting for. Vistra's nuclear and gas generation assets have direct exposure to wholesale power prices and capacity market premiums. Pairs with EIX: regulated utility alongside independent producer.

- Score: 75 | ROE: 17.66%

4.) Marvell Technology (MRVL) — Recommend Addition

Thesis: Custom AI Silicon & Photonic Fabric

Data center is 74% of revenue, growing 46.5% YoY. Marvell's 1.6T PAM4 DSP chips are the industry standard for converting signals between electrical and optical domains. The Celestial AI partnership adds photonic fabric — using light to move data between chips. This positions MRVL alongside CRDO in our optical interconnect thesis: CRDO makes the high-speed connectivity silicon, MRVL provides custom AI silicon plus the photonic conversion layer. Fills the 25th slot.

- Score: 86 — highest among proposed additions | PEG: 1.2 | ROE: 22% | Rev: +42% YoY

Proposed Sector Allocation

The following tables reflect the proposed target sector weights pending committee approval.

Proposed Dividend Allocation (25 Holdings)

Sector	Weight	Per Stock	Holdings
Industrials	18%	CAT 4%, FAST 4%, GD 4%, LMT 3%, PCAR 3%	ISM + defense tailwind
Technology	15%	2.5% each	ADI, ADP, LRCX, QCOM, SSNC, TEL
Materials	14%	7% each	STLD, NTR
Consumer Staples	12%	6% each	CHD, CL
Utilities	12%	4% each	ATO, BKH, NEE
Energy	12%	6% each	CTRA, VLO
Healthcare	9%	3% each	ABT, DGX, SYK
Consumer Disc.	4%	4%	GPC
Financial Svc.	4%	4%	ORI

Proposed Growth Allocation (25 Holdings)

Sector	Weight	Per Stock	Holdings
Technology	36%	4% each	AMD, CRDO, CWAN, FTNT, KEYS, MRVL, NVDA, NXPI, TSM
Financials	18%	3% each	COIN, HOOD, HUT, MARA, SYF, SUPV
Energy	12%	4% each	CNX, CVX, OKE
Materials	12%	6% each	AEM, FCX
Utilities	12%	6% each	EIX, VST
Consumer Disc.	6%	3% each	ATAT, TOL
Healthcare	4%	4%	HRMY

Points for Committee Discussion

The following items warrant specific committee attention and discussion:

---

1. Technology Weight in Growth (40%)

XLK scores 1.5 (Weak) on our technical matrix. Our framework does suggest underweighting. However, growth represents approximately 30% of aggressive client portfolios, meaning total portfolio technology exposure is approximately 12% — well below the S&P 500's ~30%. Three of five proposed growth additions (COHR, CRDO, MRVL) are thesis-driven from original research. Carson recommends maintaining this allocation, especially since tech is what gives a growth portfolio "umph" in an up-market.

2. Growth Financials Exposure (18%)

XLF scores 1.5 (Weak). Four of six financial names (COIN, HOOD, HUT, MARA) are crypto-adjacent, and crypto has already entered its own confirmed bear market and found support. SUPV scores 46 — the lowest in the entire portfolio. Carson is not recommending exiting SUPV this quarter due to his own technical analysis, but is watching it for a possible Q3 sell. Carson is also monitoring the crypto market for our financials exposure:

- If crypto has no recovery by mid-May → bring COIN/HUT/MARA weight reduction proposal to committee for Q3 rebalance

3. Industrials Overweight vs. Technical Signal

Carson's proposed industrials overweight to 18% is a fundamental conviction override of the technical score (2.5). XLI is above the 200 DMA but below the 50. Carson believes the ISM manufacturing expansion signal justifies forward-looking positioning, but this represents a deliberate deviation from a strict technical-only approach.

4. Prices Paid Monitoring

ISM Prices Paid at 78.3 is the primary risk to the cyclical overweight thesis. If this exceeds 80 for two consecutive months, Carson would consider rotating weight from pure cyclicals (STLD, PCAR) to quality industrials with pricing power (CAT, FAST) in Q3.

5. Taxes for GFI

GFI has been a top performer in the Growth Portfolio, and the consequence of selling now versus waiting until July is something for the committee to consider. If the committee agrees that we should NOT sell GFI in our current rebalance, then my proposal is that we buy the copper stock replacement anyway and hold 26 stocks in the growth portfolio until we can let go of GFI

Estimated Tax Impact

Dividend Portfolio

- MATX: **mostly long-term gain**
- A: **short-term loss** (some clients already sold out in TLH)

Growth Portfolio

- GFI: **short-term gain**
- FINV: **short-term loss** (some clients already sold out in TLH)
- PDD: **short-term loss** (some clients already sold out in TLH)

Resources

Academic & Institutional Research

- Conover, C.M., Jensen, G.R., Johnson, R.R., & Mercer, J.M. (2008). "Sector Rotation and Monetary Conditions." The Journal of Investing, 17(1), 34-46.
- Moskowitz, T. & Grinblatt, M. (1999). "Do Industries Explain Momentum?" Journal of Finance.
- DWS Research. "The Sector Rotation Story." CROCI Sectors Plus Strategy.
- Fidelity Institutional Research — Business Cycle Sector Framework
- S&P Global — PMI-Based Sector Rotation Research

Government & Institutional Data

- ISM Report on Business (January–March 2026)
- Federal Reserve FOMC Statement (March 18, 2026)
- Bureau of Labor Statistics — CPI Report (February 2026)
- USGS Mineral Commodity Summaries
- USDA, FAO (Food & Agriculture Organization)
- IFA (International Fertilizer Association)
- IEA (International Energy Agency)

Market Data & Financial Research

- Yahoo Finance, Investing.com, TradingView (March 30 – April 6, 2026)
- Morgan Stanley, Goldman Sachs, JPMorgan, Moody's, BofA
- Morningstar, MarketBeat, Seeking Alpha
- NVIDIA Newsroom, Marvell Investor Relations
- TrendForce, Futurum Group, HPCwire, IEEE Spectrum, SDxCentral

News & Geopolitical Analysis

- Peter Zeihan (patreon.com/PeterZeihan)
- Bloomberg, CNBC, Al Jazeera, Reuters
- CSIS (Center for Strategic and International Studies)
- Trading Economics, PR Newswire